
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager *TJB*
DATE: March 18, 2021
SUBJECT: Professional Services Agreement between the City of Cheyenne and Federated Hermes, for providing Investment Advisory Services

Nine (9) responsive Proposals were submitted under Request for Proposal (RFP) #8-20, for providing Investment Advisory Services.

The following firms submitted responsive Proposals:

- | | |
|---------------------------------|--------------------------------|
| 1. Atlanta Capital Management | 6. Moreton Asset Management |
| 2. Dana Investment Advisors | 7. PFM Asset Management |
| 3. Federated Hermes | 8. Public Trust Advisors |
| 4. Garcia Hamilton & Associates | 9. RBC Global Asset Management |
| 5. LM Capital | |

The Investment Advisory Committee reviewed all submitted proposals and performance data, and selected LM Capital, and Federated Hermes to conduct virtual interviews & presentations.

Upon review of proposals and as a result of the subsequent interviews, the Investment Advisory Committee has recommended acceptance of the proposal submitted by Federated Hermes to provide Investment Advisory Services.

City Contract No. _____

**PROFESSIONAL SERVICES AGREEMENT
BETWEEN
THE CITY OF CHEYENNE AND FEDERATED HERMES
FOR INVESTMENT ADVISORY SERVICES**

This Professional Services Agreement (the "Agreement") is made and entered into this _____ day of _____, 2021, by and between the City of Cheyenne, a municipality duly organized and existing under the laws of the State of Wyoming, whose address is 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 (hereafter "City"), and Federated Hermes, whose address is 1001 Liberty Avenue, Pittsburgh, Pennsylvania 15222 (hereafter "Advisor").

RECITALS

In consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

1. Purpose of Agreement.

The purpose of this Agreement is to authorize the City to maintain an investment account (the "Account") with the Advisor and authorizes the Advisor to act as its agent in the management of all assets from time to time held in the Account (the "Assets"). The City hereby appoints the Advisor as its investment advisor with respect to the Assets, and delegates to the Advisor the authority to manage, acquire, and dispose of the Assets.

2. Time of Performance.

This Agreement is effective when all parties have executed it and all approvals have been granted. The term of this Agreement shall be through March 31, 2024. By mutual agreement, this Agreement may be extended for two (2) additional one (1) year periods.

3. Compensation.

The City shall pay to the Advisor, as full compensation for services rendered under this Agreement, based on the fee schedule submitted under Request for Proposal #8-20, attached as **Exhibit A – Compensation Schedule.**

4. Appraisal of Account.

The Advisor shall provide the City with an appraisal of the Account, summarizing the Assets, including cash and accrued income for individual securities or net asset value for any funds, as of the last day of each calendar quarter on which the bond markets are open for trading (the "Appraisal Date"). To the extent possible, each security shall be valued on the Appraisal Date at the last traded price for such security. Other sources used for fixed income securities pricing shall include vendor-based evaluations, dollar price quotes from broker-dealers for identical securities, quoted prices for similar assets, prices calculated using observable inputs, index providers, proprietary pricing software, and matrix pricing. Trades which have not been settled as of the Appraisal Date and any other Assets shall be valued at fair value as determined in good faith by the Advisor. In making valuation determinations, the City understands and

acknowledges that the Advisor may rely on the services of a third-party pricing service. Notwithstanding anything to the contrary herein, valuation determinations shall be made using the Advisor's own valuation methodology, unless otherwise agreed to in writing.

5. City's Responsibilities.

The City shall:

- i. Advise the Advisor in writing of the investment objectives of the Account and any investment restrictions applicable to the Account, and of any changes in such objectives or restrictions. The initial written statement of investment policy, as provided to the Advisor via Addendum One (1) to RFP #8-20, shall have the effect of limiting the investments the Advisor is authorized to make for the Account and shall be binding upon the Advisor. This written statement of investment policy may be modified by the City at any time. The City shall communicate any such changes to the Advisor in writing at least ten business days before the date on which they shall become effective.
- ii. The City may at any time add Assets to or remove them from the Account; provided that certain lead time may be necessary between the time of the City's notice to the Advisor of the City's intent to transfer Assets from the Account and the subsequent removal of such Assets to allow for any necessary valuation by the Advisor of Assets to be transferred from the Account; and provided further that in no event shall such necessary lead time exceed a reasonable valuation period from the time the Advisor receives notice of the City's intent to transfer assets from the Account.

6. Authority of Advisor

The Advisor shall have full and complete discretion to direct and manage the investment and reinvestment of the Assets, including the purchase, sale, exchange, conversion or other transactions in any and all securities (including, without limitation, bonds, debentures, notes, certificates of deposit, time deposits, banker's acceptances, repurchase agreements and mutual funds) with one or more broker/dealers which the Advisor shall select. Notwithstanding the foregoing, the Advisor shall not engage in short sales or margin transactions, without the prior written approval of the City.

7. Representations and Warranties of the City

- i. The City represents and warrants to the Advisor that the City has the requisite legal capacity and authority to execute, deliver, and perform its obligations under this Agreement.
- ii. The City represents and warrants to the Advisor that this Agreement has been duly authorized, executed, and delivered by the City and is the legal, valid, and binding agreement of the City, enforceable against the City in accordance with its terms.
- iii. The City's execution of this Agreement and the performance of its obligations under this Agreement do not conflict with or violate any provisions of any governing documents of the City, any applicable state or federal law, or any obligations by which the City is bound, whether by contract, operation of law or otherwise.

8. Special Provisions.

- i. Custody of Securities/Transaction Procedures. The Advisor shall not act as custodian for the Account and shall not take possession of any Assets. The City shall maintain or establish, in the City's name, an account with a broker/dealer, bank or trust company in which the City shall maintain or deposit the Assets. The broker/dealer, bank, or trust company selected by the City shall be the custodian of the Assets. The City will cause the custodian to take all necessary steps to settle purchases, sales, and trades made by the Advisor, including delivery of certificated securities, payments of funds and such other acts as may be necessary to fulfill such custodial responsibilities. The Advisor shall give notice and directions with respect to transactions in a manner that shall be agreed upon with the custodian. The Advisor shall not be responsible for any loss caused by any act or omission of the custodian. The City shall execute any and all documents that the Advisor may from time to time transmit to the City for the purpose of confirming securities transactions of the Account. The Advisor shall not be responsible for any corporate actions relating to the securities in the Account, including administrative filings, such as proofs of claims or claims in class actions.
- ii. Allocation of Brokerage. The Advisor may allocate portfolio transactions for the Account to one or more broker/dealers, which the Advisor shall select, for execution on such markets, at such prices and at such commission rates as in the Advisor's good faith judgment will be in the Account's best interest. In so doing, the Advisor will consider not only available prices and commission rates, but also other relevant factors such as, without limitation, execution capabilities, research and other services provided by such broker/dealers which are expected to enhance the Advisor's general portfolio management capabilities, the value of an ongoing relationship of the Advisor with such broker/dealers, and the full range and quality of such broker/dealers' services, without having to demonstrate that any of the foregoing factors are of direct benefit to the Account. The Advisor shall not be responsible for any loss caused by any act or omission of any broker/dealer; provided, however, that with respect to those broker/dealers that have been selected by the Advisor, the Advisor has acted prudently in the selection of such broker/dealers.
- iii. Reports. The Advisor will send the City monthly reports regarding the Assets, including a summary of transactions executed and the valuation of the Assets. The City shall provide to the Advisor or cause to be provided to the Advisor such information and reports relating to the Account and the services to be provided by the Advisor under this Agreement as the Advisor may reasonably request. The Advisor is not responsible for the accuracy of such information and reports. The records provided by the City, the City's custodian or other third parties shall be the official records of the Account. The City is urged to compare statements provided by the custodian of the Account with reports provided by the Advisor.
- iv. Confidentiality. All information and advice furnished by the Advisor to the City under this Agreement shall be confidential and shall not be disclosed to third parties, except as required by law. All information furnished by the City to the Advisor under this Agreement shall be confidential and shall not be disclosed to any unaffiliated third party, except as

permitted or required by law, where it is necessary to effect transactions or provide other services to the City, or where the City requests or authorizes the Advisor to do so. Further, in receiving holdings data, the City agrees that the data is not being obtained in order to affect securities transactions based upon such information or to provide such information to another party.

- v. Representation by the Advisor/Standard of Care. The Advisor hereby represents and warrants that it is registered as an investment adviser under the Investment Advisers Act of 1940 (the "Advisers Act") and shall take all actions necessary to remain duly registered under the Advisers Act. The Advisor undertakes to perform only those duties that are specifically set forth in this Agreement. Except for bad faith, intentional misconduct, negligence, or violation of any federal, state, or local law or professional standard of care in regard to the Advisor's performance of its duties under this Agreement, neither the Advisor nor any of its directors, officers, employees or agents shall be liable for any acts or omissions or for any loss suffered by the Account. The Advisor and its directors, officers, employees, and agents shall be entitled to rely, and shall be protected from liability in relying, upon any information or instructions furnished to it (or any of them as individuals) which is believed in good faith to be accurate and reliable. The City understands and acknowledges that the Advisor does not warrant any rate of return, market value or performance of any assets in the Account. The federal securities laws impose liabilities under certain circumstances on persons who act in good faith and, therefore, nothing herein shall constitute a waiver of any right which the City may have under those laws.
- vi. Services for Other Clients. The City acknowledges that the Advisor provides investment advisory services for other clients. The City agrees that the Advisor may give advice or take action with respect to any of its other clients which may differ from advice given, or the timing or nature of action taken, with respect to the Account, so long as it is the Advisor's policy, to the extent practical, to allocate investment opportunities to the Account over a period of time on a fair and equitable basis relative to other clients. The Advisor shall have no obligation to purchase or sell for the Account any security which the Advisor, its directors, officers, employees, or agents may purchase or sell for their own accounts or for the account of any other client, if in the Advisor's opinion such transaction appears unsuitable, impractical, or undesirable for the Account.

9. General Provisions.

i. Advisor Responsibility.

In providing services under this Agreement, the Advisor shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession currently practicing under similar circumstances at the same time and in the same or similar locality. Upon notice to the Advisor and by mutual agreement between the parties, the Advisor will, without additional compensation, correct those services not meeting such a standard.

ii. Compliance with Laws.

The Parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

iii. Drug-Free Workplace.

In compliance with the Drug-Free Workplace Act of November 1988, the City of Cheyenne has established an Alcohol and Controlled Substance Policy that pertains to alcohol and drug usage by City employees. All architects, engineers, and other Advisors under contract with City of Cheyenne, and their employees and sub-Advisors, are required to comply with the provisions of the City's Alcohol and Controlled Substance Policy for drug and/or alcohol usage on City property or other sites occupied by the Advisor while performing the duties and responsibilities of the Agreement. It is the responsibility of the Advisor to familiarize themselves with the requirements of this policy and to inform all their employees and sub-Advisors of the requirements and ensure their compliance. If the Advisor, their employees or sub-Advisors are found in violation of this policy, the Agreement may be terminated.

iv. Indemnification/Hold Harmless.

The Advisor agrees to indemnify, hold harmless, and defend the City from and against any and all liabilities, claims, penalties, forfeitures, and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result of death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations, or orders to the extent caused by (1) the Advisor's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error or omission by the Advisor, or its employees or sub-Advisors in the performance of this Agreement. The Advisor acknowledges that it may incur a financial obligation to the City pursuant to the terms of this paragraph.

v. Insurance Requirements.

The Advisor must provide proof of the following insurance coverages:

a. **Commercial General Liability Insurance**

For claims arising out of bodily injury, illness, or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$1,000,000 per occurrence, \$2,000,000 aggregate for the entire term of the Agreement.

b. **Business Automobile Insurance**

Including owned, non-owned, and hired vehicles with minimum limits for bodily injury and property damage of \$1,000,000 per accident for the entire term of the Agreement.

c. **Workers' Compensation**

Workers' compensation coverage shall be in effect for the entire term of the Agreement, as required by Wyoming law, for all employees or agents providing services under this Agreement. Advisor shall provide the City with proof of workers' compensation or employer's liability insurance coverage.

d. **Professional Liability Insurance**

The Advisor shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$500,000 to protect the City from any and all claims arising from the Advisor's negligence in the performance of duties under this Agreement. The City prefers that this liability insurance coverage be provided pursuant to an "occurrence" policy.

If this coverage is provided pursuant to a "claims made" policy:

- a. Advisor shall, concurrently with the execution of this Agreement, provide the City with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Advisor begins the provision of services under this Agreement; and
- b. In the event the Advisor's services extend into a future policy period, the Advisor shall, prior to the policy expiration date, provide the City with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that Advisor will provide services under this Agreement; and
- c. Advisor shall maintain said "claims made" coverage for a period of five (5) years following the last date that Advisor has provided services under this Agreement; and
- d. In the event the Advisor or the insurer terminates "claims made" coverage prior to the expiration of the periods provided in subparagraphs a., b., or c. of this paragraph, the Advisor shall provide to the City advance written notification of the termination of said coverage and shall provide the City with an endorsement for an extended reporting period ("tail coverage") which shall be in effect for a period of time not less than five (5) years following the last date that Advisor has provided services under this Agreement.

Additional Insurance Information

The Advisor shall name the City of Cheyenne as **an Additional Insured** by endorsement on its insurance policies and shall provide the City with a copy of the endorsements. This requirement does not apply to workers' compensation and professional liability insurance policies. Advisor shall provide the City with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this Agreement. It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of the Agreement. It shall be an affirmative obligation upon Advisor to immediately notify in writing the city risk manager,

city clerk, and city attorney of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation of, or substantive change to any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement. If requested by the City, the Advisor shall provide the City with copies of insurance policies and/or policy endorsements listing the City of Cheyenne as an additional insured. The City's failure to request or review such policies, endorsements, or certificates shall not affect the City's rights or Advisor's obligation hereunder. Any insurance company providing coverage under this Agreement shall have a minimum A. M. Best rating of A- (excellent).

vi. Minority and Disadvantaged Business Enterprises. 49 C.F.R. Part 26

All parties to this Agreement assure that no person will be excluded from participation in, denied the benefits of, or otherwise discriminated against, in connection with the award and performance of this Agreement on the grounds of age, race, color, disability, national origin, or sex.

vii. Independent Advisor.

The Advisor shall function as an independent Contractor for the purposes of this Agreement. The Advisor shall assume sole responsibility for any debts or liabilities that may be incurred by the Advisor in fulfilling the terms of this Agreement. Nothing in this Agreement shall be interpreted as authorizing the Advisor or its agents or employees to act as an agent or representative of or on behalf of the City or to incur any obligation of any kind on the behalf of the City.

viii. Taxes.

The Advisor agrees to pay all valid taxes, excises, license fees, permit fees, bills, debts, and obligations incurred by and in connection with its operations under this Agreement.

ix. Default.

Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.

x. Remedies.

In the event a party has been declared in default, such defaulting party shall be allowed a period of fifteen (15) days within which to cure the default. In the event the default remains uncorrected, the non-defaulting party declaring default may elect to:

- a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount; or
- b. Treat the Agreement as continuing and require specific performance.

xi. Termination.

The City may, without cause, and upon thirty (30) days' written notice to the Advisor, terminate this Agreement in whole or in part at any time, for the City's convenience. Upon receipt of such notice, the Advisor shall:

- a. Discontinue all services affected; and
- b. Deliver to the City within five (5) days all data, reports, estimates, summaries, and such other information and materials as may have been accumulated by the Advisor in performing this Agreement, whether completed or in process.
- c. In the event of termination for convenience, the City will pay the Advisor for accepted work done and expenses incurred to the date of termination. Such acceptance shall not be unreasonably withheld.

xii. Additional Remedies.

In the event the Advisor fails to strictly perform in accordance with this Agreement, the City may elect to correct the deficiencies and charge the Advisor. In the event of default of any of the conditions by either party which shall require the party not in default to commence legal or equitable action against the defaulting party each party shall bear its own costs and expenses, including without limitation, attorney's fees.

xiii. Governing Law, Jurisdiction, and Venue.

The construction, interpretation, and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

xiv. Governmental Immunity.

The City of Cheyenne, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retain all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

xv. Monitoring Activities.

The City shall have the right to monitor all activities related to this Agreement that are performed by the Advisor or its sub-Advisors. This shall include, but not be limited to, the right to make site inspections at any time and with reasonable notice; to bring experts and Advisors on site to examine or evaluate completed work or work in progress; to examine the books, ledgers, documents, papers, and records pertinent to this Agreement; and to observe personnel in every phase of performance of the related work.

xvi. Non-Discrimination.

The Advisor shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, *et seq.*), the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy or qualifying disability in connection with the performance under this Agreement.

xvii. Force Majeure.

The performance of the Agreement by either party shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by the World Health Organization, the Centers for Disease Control, or local government authority or health agencies (including, but not limited to, the health threats of COVID-19, H1N1, or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this Agreement. The Agreement may be cancelled by either party, without liability, damages, fees, or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other party.

xviii. Entirety of Agreement.

This Agreement consisting of nine (9) pages, Request for Proposal #8-20, consisting of eight (8) pages, Addendum One (1), consisting of sixty-five (65) pages, Addendum Two (2), consisting of nine (9) pages, Addendum Three (3), consisting of one (1) page, Addendum Four (4), consisting of two (2) pages, Addendum Five (5), consisting of one (1) page, Addendum Six (6), consisting of one (1) page, Addendum Seven (7), consisting of two (2) pages, and Addendum Eight (8), consisting of two (2) pages, contain the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter.

[Signatures on following page]

IN WITNESS WHEREOF, the parties have hereunto set their hands and seals the day and year first above written.

CITY OF CHEYENNE

(SEAL)

By: _____
Patrick J. Collins, Mayor

Attest:

Kristina Jones, City Clerk

Date: _____

ADVISOR

By: _____

Print Name: _____

Date: _____

EXHIBIT A – COMPENSATION SCHEDULE

FEES

Provide a fee schedule that describes the proposed compensation for services either as a flat annual fee, a percentage of portfolio fee or as a per trade fee with an annual cap.

We (Federated Hermes) propose the following fee schedule for investment management services:

20 basis points (0.20%) on the first \$25 million;

18 basis points (0.18%) on \$25 million – \$100 million; and

15 basis points (0.15%) over \$100 million.

For pricing purposes only, we will aggregate the City's and Board's monies to provide the most competitive fee structure. This produces an effective fee of 19 basis points (0.19%) at \$50 million.

ADDENDUM NINE TO PROFESSIONAL SERVICES AGREEMENT

This ADDENDUM NINE (this “Addendum”) amends, supplements and is part of that certain Professional Services Agreement (the “Agreement”) of even date herewith, by and between the City of Cheyenne, a municipality duly organized and existing under the laws of the State of Wyoming (the “City”) and Federated Investment Counseling. (“Adviser”). The effective date (the “Effective Date”) of both the Agreement and this Addendum shall be the date of the last signature affixed to this document. Capitalized terms used but not defined in this Addendum shall have the meanings set forth in the Agreement.

RECITALS

WHEREAS, the City and the Advisor have entered into the Agreement as of the Effective Date; and

WHEREAS, the City and the Advisor wish to amend and supplement the Agreement as set forth in this Addendum.

AGREEMENT

NOW, THEREFORE, the parties, intending to be legally bound, hereby agree to amend the Agreement as set forth below. (The language and phrases underlined and in *italics* signify changes from the original Agreement.)

1. Section 5 -- City’s Responsibilities. Section 5 of the Agreement is hereby amended by:
 - Adding the following subparagraph (iii) to the end of the Section: *“(iii) The City is solely responsible for ensuring that the investment guidelines comply with laws, rules, regulations, and internal policies that are applicable to the City.”*
2. Section 6 -- Authority of Advisor. Section 6 of the Agreement is hereby amended by:
 - Adding the following paragraph at the end of the Section: *“The City hereby appoints Advisor as its duly appointed attorney-in-fact to act in the name and on behalf of the City in connection with Advisor exercising its trading authority and discretion granted to Advisor by the City under this Agreement. The City also agrees to execute a stand-alone limited power of attorney provided by Advisor upon request of Advisor.”*
3. Section 7 -- Representations and Warranties of the City. Section 7 is hereby amended by:
 - Adding the following additional subsections:

“(iv) The Advisor has not provided legal or tax advice relating to this Agreement; the City has independently examined and understands the tax, legal and accounting consequences related to the types of investments contemplated by the investment guidelines and that will be made with the Assets.”

“(v) Except for the authority granted by the City to the custodian, the City will not deal or authorize any third party to deal with the Assets.”

“(vi) To the extent not prohibited under applicable law, the City will promptly inform the Advisor if it was served or otherwise receives notice of any action, suit, proceeding, complaint, inquiry, any investigation, at law or in equity, or any written threat thereof.

involving the Advisor's services under this Agreement or before or by any court, public board or body, directly involving Adviser's services, or of any material proceeding or action relating to the performance of the City's obligations contemplated under this Agreement."

4. Section 8 -- Special Provisions. Section 8 of the Agreement is hereby amended by:

- Deleting the third sentence of Section 8(i) and replacing it with the following: "The broker/dealer, bank or trust company selected by the City shall be the custodian of the Assets, and such person shall constitute a "qualified custodian" as such term is defined in Rule 206(4)-2 under the Investment Advisers Act of 1940, as amended."
- Adding the following at the end of Section 8(ii): "Advisor may select broker-dealers providing research or brokerage services to Advisor, may use these research or brokerage services for its benefit, for the benefit of the Assets in the Account, or for other clients' accounts, and may pay a greater commission on trades than another broker-dealer might have charged, all consistent with Advisor's applicable policies and procedures, its duty to seek best execution and applicable law."
- Adding the following sentence at the end of Section 8(iv): "For the avoidance of doubt, the City authorizes the Advisor to disclose its confidential information to any Service Providers (defined below) engaged by the Advisor to assist the Advisor in meeting its duties and obligations under this Agreement as set forth in Section 10 hereto."
- Deleting the third sentence of Section 8(v) and replacing it with the following: "Except for bad faith, intentional misconduct, gross negligence, or violation of any federal, state, or local law or professional standard of care in regard of the Advisor's performance of its duties under this Agreement, neither the Advisor nor any of its directors, officers, employees or agents shall be liable for any acts or omissions or for any loss suffered by the Account."
- Adding the following as a new Section 8(vii): "Proxy Voting. Unless otherwise retained by the City, the Advisor or its delegate or agent shall be responsible for voting proxies and taking action with respect to corporate actions on behalf of the Account. The Advisor will vote all such proxies (or direct its proxy voting service to vote all such proxies) in accordance with the Advisor's proxy voting guidelines and procedures in effect from time to time as described in the Advisor's Form ADV, Part 2. The Advisor has no liability to the City, and the City will indemnify the Advisor for any loss that arises from or in connection with any recommendation made by the Advisor with respect to the voting of proxies or voluntary corporate actions. In no event will the Advisor have any responsibilities for the Assets or the Account with respect to bankruptcies, class actions or other litigation relating to the Assets."
- Adding the following as a new Section 8(viii): "No Guarantee. The Advisor gives no warranty and does not guarantee: (a) the performance of the Assets; (b) that the Advisor's investment advice will be successful; or (c) that any one or more specific individuals will be responsible for supplying services hereunder."

5. Section 9 -- General Provisions. Section 9 is hereby amended by:

- Revising clause (2) of Section 9(iv) as follows: "or (2) any act constituting gross negligence or an otherwise wrongful act, error or omission by the Advisor, or its employees or sub-Advisors in the performance of this Agreement."

- Adding the following paragraph at the end of Section 9(xi): “The Adviser may terminate this Agreement upon 60 days’ notice to the City.”
- Revising the sixth line of the Section 9(xviii) as follows: “...two (2) pages, Addendum Eight (8), consisting of two (2) pages, and this Addendum Nine (9), consisting of four (4) pages, contain the entire...”
- Adding the following as a new Section 9(xix): “Except as provided herein, this Agreement may be amended only by a written instrument executed by each of the parties.”
- Adding the following as a new Section 9(xx): “Each provision of this Agreement is intended to be severable. If any provision of this Agreement is held invalid or unenforceable, the other provisions of this Agreement will remain in full force and effect.”
- Adding the following as a new Section 9(xxi): “No assignment (as that term is defined in the Investment Advisers Act of 1940, as amended) may be made by either party without the consent of the non-assigning party. The City will be deemed to have consented to an assignment if it does not object to such assignment within sixty (60) days’ after having received notice thereof from the Advisor. This Agreement and all subsequent amendments shall inure to the benefit of the successor and assigns of the parties hereto.”

6. Section 10 -- Service Providers. A new Section 10 is hereby added by:

- Adding the following provision: “Notwithstanding any other provision of this Agreement, the City agrees that: (i) Advisor is authorized, in its sole discretion, to employ and/or engage agents and independent contractors, including, but not limited to, affiliates, outsourcers, account reconciliation or recordkeeping service providers, proxy voting service providers and/or other service providers or entities (collectively, “Service Providers”) to perform, or to advise or assist Advisor in the performance of, Advisor’s duties under this Agreement; (ii) Advisor is authorized to, and the City’s consent is hereby provided for, Advisor to disclose confidential information of the City (as set forth in Section 8(iv) hereof) to such Service Providers in connection with their performance of services for or on behalf of Advisor in connection with this Agreement; and (iii) Advisor is authorized to delegate any or all of its rights, duties and responsibilities under this Agreement (other than investment advisory services) to its affiliated Service Providers. It is acknowledged and agreed that any such disclosure will be deemed necessary to process a transaction or to service a customer relationship.”

7. Except as specifically amended hereby, all other terms and conditions of the Agreement shall remain in full force and effect. In the event of an irreconcilable conflict between this Addendum and the Agreement, this Addendum shall govern and control.

8. This Addendum may be executed in several counterparts, each of which shall be deemed to be an original, and all such counterparts taken together shall constitute one and the same instrument. Counterparts may be executed in either original or electronically transmitted form (e.g., faxes or emailed portable document format (PDF) form), and the parties hereby adopt as original any signatures received via electronically transmitted form.

IN WITNESS WHEREOF, each of the undersigned has caused this Addendum to be executed in its name and on its behalf by a duly authorized officer as of the date set forth above.

FEDERATED INVESTMENT COUNSELING:

Name:_____

Signature:_____

Date Signed:_____

CITY OF CHEYENNE:

Name:_____

Signature:_____

Date Signed:_____